



RALLYS EQUITIES PRIVATE LIMITED

Conflict of Interest- Resolution Policy

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Introduction

The Board of Directors of Rally's Equities (Pvt) Limited has approved the following policy to address issues related to client conflicts (grievances and complaints).

1. **Contact Person:** Chief Executive
2. **Email Address:** hello@rallysequities.com
3. **Ph.:** 0316-9991907

Rally's Equities (Pvt) Limited shall ensure that, there should be appropriate policies and procedures to minimize conflict of interest between securities broker and its customers. The procedures should identify and address situations where a conflict may arise. For example, where the broker is also acting as an underwriter for an issue or where the broker is also the book runner for a book building or acting as consultant for an issuer company etc. Similarly conflict arising due to proprietary trading and trading on behalf of client should also be addressed in the policies and procedures.

Furthermore shall ensure following:-

- Controls in this regard should include 'Chinese walls' between staff performing conflicting duties and timely disclosures to clients.
- There must be documented procedures to address the above concerns and the compliance officer should ensure adherence with the same.
- Where conflict of interest arises between a Rally's Equities (Pvt) Limited and its customers, Rally's Equities (Pvt) Limited should immediately communicate the same to the clients.
- Rally's Equities (Pvt) Limited should not take any direct or indirect advantage from the situation and act in the best interest of the customer.
- A mechanism, including standard procedure should be in place to resolve any conflict of interest.
- Rally's Equities (Pvt) Limited should make appropriate disclosure to customers of potential areas of conflict of interest which could impair its ability to render fair, objective and unbiased service. Compliance function must ensure adherence to the same on regular basis.
- In case of any breach of policies by employees or accredited representatives, proper investigation should be carried out and action should be taken by the securities broker.

Reasons for Client Grievance/Complaint

Losing money through dealing in securities is not in itself reason enough for a client to have a case against a broker. However, it is the responsibility of the broker to invest money according to client's instructions. There are certain malpractices against which a client can lodge a complaint, such as:

1. Unauthorized trading (sale/purchase).
2. Unauthorized transfer or movement of funds and shares.
3. Non supply of trade confirmations and statements of account.
4. Overcharged commissions.
5. Failure to execute client instructions/orders.
6. Suspension of payment or non-delivery of securities.

Grievance Handling Process

1. Letters and emails sent by the client on the above address shall be received directly by the Head of Compliance for immediate action.
2. The above email shall have an auto response function to intimate to the client that the request has been received for necessary action.
3. Head of Compliance will maintain a register to log all client grievances/complaints and their resolutions.
4. Head of Compliance will coordinate with the concerned departments to resolve the grievance/complaint within 10 working days and respond back to the client with an outcome to satisfy client query. CEO will be copied on all communications in this regard.
5. In cases where Head of Compliance is unable to satisfy the client query within 10 working days, the CEO will review the matter and try to resolve the same.
6. Should the matter remain unresolved even after the intervention of the CEO, client will have the option to refer the matter to an Arbitration Committee of the Exchange.
7. Special attention should be given for any unusual or frequent complaints which indicate control deficiency.
8. Rally's Equities (Pvt) Limited should have controls over customer complaint records and its related resolutions.

Arbitration

Whenever any dispute arises between a broker and their client in connection with any trade or transaction and is not otherwise settled amicably as per the above procedure, it shall be referred to

arbitration and shall be dealt with according to the procedure laid down in the relevant chapter to Rule Book of Pakistan Stock Exchange Limited (PSX).

Arbitration is an alternative dispute resolution mechanism provided by PSX for those persons who do not wish to go to Court. Through this method, disputes between the broker and their client may be addressed and resolved in respect of trades done at the Exchange. This process of resolving a dispute is comparatively faster than litigation.

An application for arbitration has to be filed within 3 months from the date of the dispute.

Forums for Arbitration

There are 3 possible recourses for the Client to file a complaint but prior to this it is suggested that the complaint be taken up directly with the Broker. This will not only save time but may help to preserve the trust and confidence between Broker and Client.

1. Pakistan Stock Exchange (PSX) Arbitration Committee

Client has the option of bringing their complaint to the management of the PSX. As a front line regulator, PSX is empowered to take cognizance of complaints against the Broker under the approved Rules and Regulations.

After careful review of all documents provided by the parties, an Arbitration Award may be passed in accordance to the Rules and Regulations. Arbitrators are persons nominated by the PSX and may include industry experts.

For further details please refer to Chapter 18 of the Rule Book of Pakistan Stock Exchange Limited (PSX).

2. Securities and Exchange Commission of Pakistan (SECP)

The client can also lodge his/her complaint with the Vigilance Cell which has been setup at SECP to ensure that grievances/complaints of the general public are heard and redressed, in a quick and efficient manner.

All the complaints received by the Vigilance Cell against Stock Exchange Brokers are forwarded to the Investor Complaint Wing (ICW) of the Securities Market Division (SMD) for further processing.

However, SECP is not empowered to force the Brokers for compensation or damages.

3. Civil Court

Clients can also file their complaint with the Civil Courts.

Arbitration Process

Arbitration process followed at the PSX is summarized below:

1. Copies of the following documents may be submitted along with the application to support the claim:
 - a. Copy of CNIC (in case of companies CNIC of the authorized representative)
 - b. Account opening form of the complainant
 - c. CDC sub-account opening form/Individual investor account
 - d. Relevant Share Deposit receipts.
 - e. Relevant Trade confirmations slips/sale-purchase bills
 - f. Relevant cash receipts and payments made
 - g. Relevant CDC reports and statements
 - h. Any other document signed by the complainant or Member during the course of business.
2. An undertaking to abide by the rules and regulations of the Exchange.
3. PSX then appoints the Arbitrator(s). Claims up to Rs.0.5 million are referred for arbitration to the Sole Arbitrator of the Exchange who may hear and decide the matter. Claims/disputes above Rs.0.5 million are referred to the Sub Panel for its action.
4. An application received for arbitration shall be scrutinized as per procedures laid down in Chapter 18 of the PSX Rule Book.
5. Any party that is dissatisfied with any award of the Sole Arbitrator or the Sub Panel may file an appeal to the Arbitration Committee against such award within 15 days of receipt of such award.

Quarterly reports regarding number of complaints received, redressed and unresolved should be submitted to the PSX.